Start with money, not form numbers

Accounting records what happened. Financial statements organize the record. Tax preparation translates that record into the government's reporting system.

A business sells something, pays people and vendors, buys equipment, borrows money, collects cash, and distributes cash to owners. Those events are the underlying reality. **Accounting is the system for recording and organizing them.** Tax is a second system layered on top. It starts with the accounting record, then applies different rules to determine what gets reported and when.

That gives you the basic chain: **transactions become books; books become financial statements; financial statements and other source documents become a tax return.** A tax accountant spends much of the job checking that each handoff is complete and defensible.

THE FIVE LAYERS

1. **Source activity.** Invoices, bank activity, payroll, loan documents, receipts, contracts, brokerage statements, and tax forms show what happened.
2. **The books.** Transactions are posted to accounts in a general ledger. Bank and credit-card accounts are reconciled. Errors and missing activity are corrected.
3. **Financial statements.** The profit and loss statement explains performance over a period. The balance sheet shows what the business owns and owes at a point in time.
4. **Tax workpapers.** The preparer connects the books and source documents to tax categories, records adjustments, explains judgment calls, and keeps an audit trail.
5. **The return.** Professional tax software calculates forms, states, diagnostics, and e-file output. A preparer and reviewer still decide whether the facts and treatment are right.

WHY CASH, PROFIT, AND TAXABLE INCOME ARE DIFFERENT

Cash is simply money in the bank. Profit is revenue minus expenses under an accounting method. Taxable income is the amount after tax rules are applied. They often move together, but not always. A customer can owe you money that counts as revenue before cash arrives. A loan puts cash in the bank but is not revenue because it must be repaid. Buying equipment uses cash immediately, but the cost may be deducted over several years through depreciation.

> Practitioner shorthand: 'The books are not tax-ready' means the ledger or financial statements still contain errors, unreconciled accounts, personal spending, missing balances, or classifications that cannot safely feed a return.

P&L, balance sheet, ledger, and depreciation

You do not need to become a bookkeeper. You do need to understand what each report says, how the reports connect, and why a tax preparer distrusts unreconciled books.

The profit and loss statement

The **profit and loss statement**, usually called the **P&L** or income statement, covers a period such as January through December. It begins with revenue, subtracts cost of goods sold and operating expenses, and ends with net income. It answers: **Did the business make money during this period, and why?**

The P&L is not a list of cash movements. Loan proceeds do not belong in revenue. Owner contributions are not sales. Principal payments on debt are not ordinary expenses. A large equipment purchase may not hit expense all at once. Those items generally belong on the balance sheet or are spread over time.

The balance sheet

The **balance sheet** is a snapshot on one date. Assets are what the business owns or controls: cash, receivables, inventory, equipment. Liabilities are what it owes: credit cards, payroll taxes, loans. Equity is the owners' residual interest. The basic relationship is **assets = liabilities + equity**.

The balance sheet matters in tax because it catches stories the P&L cannot. If a loan balance never changes, debt payments may have been misclassified. If fixed assets disappear, a sale or disposal may be missing. If retained earnings does not roll from last year, the books may not connect to the prior return.

THE REPORTS BEHIND THE STATEMENTS

- **General ledger or GL:** the detailed list of entries inside every account. The P&L and balance sheet are summaries of this ledger.
- **Trial balance or TB:** one line per ledger account with its ending balance. Business-return preparation often begins with the TB because it is compact and mappable.
- **Chart of accounts:** the list of categories used in the books, such as revenue, payroll, meals, vehicles, cash, loans, and owner distributions.
- **Reconciliation:** proving that a ledger balance agrees to outside evidence. A bank reconciliation explains the difference between the books and the bank statement.
- **Close:** the process of finishing a period. Entries are posted, accounts reconciled, unusual balances reviewed, and the statements made ready to rely on.

DEPRECIATION WITHOUT THE TEXTBOOK FOG

If a company buys a $60,000 machine that will help the business for years, treating the entire cost as one month's operating expense can distort the story. Accounting records an asset and then recognizes cost over time. That recurring cost is **depreciation**. Tax depreciation follows its own rules and may allow faster deductions, so book depreciation and tax depreciation can differ.

> When someone says 'tie the balance sheet,' 'roll the TB,' 'book an AJE,' or 'update fixed assets,' they mean: prove the balances, carry the account map forward, post an adjusting journal entry, or reconcile this year's equipment activity to the depreciation schedule.

A 1040 is a hub, not one flat form

The taxpayer's wages, investments, businesses, rentals, and pass-through entities enter through different schedules, then roll into the main individual return.

Form 1040 is the federal individual income-tax return. Think of the first two pages as the summary screen. They identify the taxpayer, combine the major income categories, apply deductions and credits, calculate tax and payments, and end with a refund or amount due. The details live on supporting forms and schedules.

A **form** can be a return, an input document, or a calculation. A **schedule** is an attachment that expands one part of a return. Practitioners often use the schedule name as shorthand for the activity itself: 'a Schedule C client,' 'two rentals on E,' or 'a large D gain.'

THE SCHEDULES ROSS WILL HEAR MOST

- **Schedule C - sole-proprietor business.** Revenue and business expenses are reported directly inside the owner's 1040. There is no separate federal business income-tax return. Net profit usually also feeds Schedule SE for self-employment tax.
- **Schedule E - rentals and pass-through income.** Page 1 commonly reports rental real estate. Page 2 commonly receives K-1 amounts from partnerships and S corporations. This is why someone may say a K-1 'flows to E.'
- **Schedule D - capital gains and losses.** Sales of stocks and other capital assets are summarized here, usually after detail is organized on Form 8949.
- **Schedule B - interest and dividends.** It expands taxable and tax-exempt interest, ordinary dividends, and certain foreign-account questions.
- **Schedule A - itemized deductions.** It replaces the standard deduction only when qualifying deductions such as state and local taxes, mortgage interest, charity, and medical expenses produce the better result.
- **Schedules 1, 2, and 3 - overflow lanes.** They carry additional income and adjustments, additional taxes, and additional credits or payments into the main 1040.

SOURCE DOCUMENTS ARE NOT THE RETURN

A W-2 reports wages and withholding from an employer. A 1099 is a family of information forms: interest, dividends, contractor payments, brokerage sales, retirement distributions, and more. A K-1 reports an owner's share from an entity or trust. These forms are evidence supplied by payers. The tax return decides where each item belongs, how it interacts with everything else, and what tax results.

The **prior-year return** is a checklist as much as a comparison. If last year had a rental, brokerage account, K-1, carryforward, or state filing and this year's package does not, the preparer asks what changed rather than quietly deleting it.

> Common call language: 'It's a 1040 with a C and two E rentals, plus three K-1s.' Translation: one individual return, one sole-proprietor business, two rental activities, and three pass-through entity inputs.

1065, 1120-S, 1120, and the K-1 chain

The return tells you who is doing the calculation and whether the tax generally stays with the entity or flows to its owners.

A legal entity and a federal tax classification are not the same thing. **LLC** is a state-law wrapper. A one-owner LLC owned by an individual is commonly ignored for federal income-tax purposes and appears on the owner's 1040, often on Schedule C or E. A multi-owner LLC is commonly taxed as a partnership. An LLC can also elect corporate or S-corporation treatment.

THE RETURNS IN WORKING LANGUAGE

- **1065 - partnership return.** The partnership calculates the business result and allocates tax items among partners. It generally does not pay federal income tax itself. Each partner receives a Schedule K-1 and uses it on another return.
- **1120-S - S-corporation return.** The corporation calculates the result and issues a K-1 to each shareholder. An owner working in the business may also receive W-2 wages. Income generally passes through, while distributions are cash movements that must be tracked separately.
- **1120 - C-corporation return.** The corporation is a separate taxpayer and generally pays its own federal income tax. A later dividend can create tax again for the shareholder. The operating profit does not automatically flow to Schedule E.
- **1040 Schedule C - sole proprietor.** The owner and business are one federal income-tax reporting unit. There is no entity K-1 and no separate income-tax return for the business activity.

WHAT A K-1 ACTUALLY DOES

A **Schedule K-1** is the handoff from a pass-through entity to one owner. It does not merely say 'your profit was $100,000.' It separates ordinary business income, rental activity, interest, capital gains, charitable contributions, credits, and other items because they can behave differently on the owner's return. The K-1 preserves the character of those items.

A K-1 is not cash. An owner can receive taxable income without receiving an equal distribution. It is also not a standalone return. It is output from the 1065, 1120-S, or 1041 that becomes input to another return. This creates a dependency chain: entity returns must often finish before owner 1040s can finish.

BUSINESS-RETURN TERMS YOU WILL HEAR

- **Schedule L:** the tax-return balance sheet. Reviewers compare it with the books, prior year, and ownership activity.
- **M-1:** a reconciliation from book income to tax income. It explains why the P&L result and taxable result differ.
- **Basis:** an owner's tax investment in an entity or asset. It affects whether losses are usable and whether distributions or sales create gain.
- **Fixed-asset or depreciation schedule:** the record of equipment, buildings, prior depreciation, new additions, disposals, and current deductions.

> A concise return description might be: 'Calendar-year 1120-S, two shareholders, accrual books, multi-state, needs the TB mapped, fixed assets rolled, M-1 tied, and K-1s out before the owners.'

From a client package to an accepted return

Tax preparation is not transcription. It is the controlled conversion of incomplete evidence into a filing that a professional is willing to sign.

1. **Confirm what is being filed.** Identify the taxpayer, form, year, ownership, accounting method, states, elections, and prior filings. A wrong entity type or year is not a small error.
2. **Collect the package.** Individuals bring W-2s, 1099s, K-1s, statements, organizers, and prior returns. Businesses bring books, trial balances, ledgers, payroll, fixed assets, ownership records, and prior workpapers.
3. **Make the evidence usable.** Remove duplicates and wrong-year files, identify unreadable or missing items, reconcile books, map accounts, and request answers from the client.
4. **Build the workpapers.** Tie each important number to a document, ledger account, calculation, or explanation. Record adjustments and make unresolved items visible.
5. **Prepare and calculate.** Enter or import supported data into the tax engine, run the calculation, create federal and state forms, and clear routine diagnostics.
6. **Review and resolve.** Compare with sources and prior year, inspect large changes, clear review notes, decide judgment items, obtain client authorization, transmit, and monitor acceptance.

HOW PRACTITIONERS DESCRIBE THE WORK

- **'Roll forward SALY.'** Start from last year's return or workpaper pattern, then update it. SALY means same as last year, sometimes said affectionately and sometimes as an insult.
- **'Tie it out.'** Prove that two records agree, such as the bank to the GL, the TB to the return, K-1 totals to allocations, or beginning balances to the prior year.
- **'Clear the open items.'** Resolve missing documents, unanswered questions, unsupported treatments, and review notes that block completion.
- **'Run diagnostics.'** Ask the tax engine for errors, warnings, e-file failures, missing entries, and informational checks. Diagnostics help; they do not replace review.
- **'Extend it.'** File for more time to submit the return. The taxpayer generally still must estimate and pay by the original payment deadline.

THE MODEL ROSS SHOULD CARRY INTO EVERY CALL

Ask what return the firm is preparing, what evidence feeds it, where the books come from, how the preparer builds workpapers, which software calculates the result, and what slows review. Those questions reveal the workflow without pretending to be the tax expert.

> You are fluent enough when a practitioner can say 'The 1065 is waiting on clean books and fixed assets, then the K-1s need to hit three 1040s on E' and you can follow the dependency without stopping the conversation.

References: IRS Form 1040 | Form 1065 | Form 1120-S | Form 1120 | Depreciation | Business structures. Internal onboarding, not tax advice.